

Quick Thoughts: Mega IPOs-From Private to Public Markets

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Originally published in Stephen Dover's LinkedIn Newsletter, Global Market Perspectives. Follow Stephen Dover on LinkedIn where he posts his thoughts and comments as well as his Global Market Perspectives newsletter.

I recently had the opportunity to listen to a compelling Franklin Templeton webinar on the next wave of mega initial public offerings (IPOs)-what's driving them, what they mean for investors, and how they could reshape the structure of US equity markets. Drawing on perspectives from across our investment teams, this was one of the most insightful discussions I have encountered on the topic. Here are my key takeaways.

The AI boom is reshaping capital markets-and private markets are where much of that story begins.AI as a theme is dominating financial markets, and the purest exposure to frontier AI labs remains in venture capital. This is driving fund flows into private markets that are, by any measure, truly unprecedented-including US\$100 billion fundraising rounds that would have been unthinkable a few years ago.

The IPO market is no longer waiting for a catalyst-it has one.After a prolonged hiatus, the conditions for a sustained IPO recovery are falling into place. SpaceX's debut served as an important bellwether-it went about as well as anyone could have hoped-and that success has likely given comfort to other companies weighing a listing. With over US\$7 trillion sitting in money market accounts, there is no shortage of liquidity waiting to be deployed into compelling new offerings.

These are not your typical IPO candidates.What makes this cycle distinctive is the maturity of the companies coming to market. These are not early-stage ventures, but scaled businesses with significant revenues, large customer bases, and category leadership in high-growth segments. Companies are staying private longer, so they can navigate investment cycles and product transitions away from the scrutiny of quarterly reporting. They arrive in public markets at a far more advanced stage than they would have a decade ago.

The AI IPO boom could cannibalize its own winners.If several mega-cap IPOs come to market in the same window, they will compete for capital not only with each other, but with existing publicly traded growth stocks. That could create rotation pressure across software, semiconductors, fintech and AI beneficiaries. This is a dynamic investors should monitor closely, even as overall demand remains robust.

The next wave of IPOs could reshape market leadership.Perhaps the most significant long-term implication is structural. Companies are preparing to list across AI, space, defense technology, fintech, automation, robotics and data infrastructure. These new entrants may help diversify US equity markets away from a small group of heavily concentrated mega-cap names-ultimately leading to a healthier market and more ways to express secular growth themes.

Public markets could provide greater transparency on AI's return on investment.One of the most consequential effects of this IPO wave will be the financial disclosure it forces. For the first time, public investors may be able to assess whether AI companies are converting significant capital expenditures into revenue, and improving profitability. This matters enormously, particularly for semiconductors, where the durability of the current spending cycle has been a persistent question hanging over the entire sector.

Index inclusion dynamics are changing.SpaceX's IPO set an important precedent: Index providers adjusted their rules to include a company early based on its scale and significance. We should expect this to continue. Future mega IPOs are likely to enter benchmarks at a size that can materially impact those benchmarks-and that has real implications for passive investors, active managers, and the broader distribution of returns across the shareholder base.

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Equity securities are subject to price fluctuation and possible loss of principal.

The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce the desired results. To the extent a strategy invests in companies in a specific country or region, it may experience greater volatility than a strategy that is more broadly diversified geographically.

Investing in privately held companies presents certain challenges and involves incremental risks as opposed to investments in public companies, such as dealing with the lack of available information about these companies as well as their general lack of liquidity.

Large-capitalization companies may fall out of favor with investors based on market and economic conditions.

Investment strategies incorporate the identification of thematic investment opportunities, and its performance may be negatively impacted if the investment manager does not correctly identify such opportunities or if the theme develops in an unexpected manner.

By focusing investments in technology and information technology-related industries, a portfolio carries much greater risks of adverse developments and price movements in such industries than a portfolio that invests in a wider variety of industries.

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